

SBA COMMUNICATIONS CORP SBAC

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by

LiveLaughLove

2026 2027

Price:	186.29	EPS	0	0
Shares Out. (in M):	106	P/E	0	0
Market Cap (in \$M):	19,737	P/FCF	0	0
Net Debt (in \$M):	12,691	EBIT	0	0
TEV (in \$M):	32,428	TEV/EBIT	0	0

Description

SBAC is the cleanest tower story in the market and nobody wants to own it. The stock trades at 14.9x forward AFFOPS — near a record low, vs. a ~24x average since 2017 — because reported AFFOPS will have declined three straight years (2025-2027). That de-rate is the opportunity: the entire decline is explained by two finite, fully-disclosed items — consolidation churn (Sprint, and now DISH's corpse) and refinancing sub-2% 2021-vintage debt at ~5% — while underlying growth ran +3-6% straight through the trough. **The thesis from here is that, for the first time in a long time, asymmetry in towers is to the upside. The US towers industry is as consolidated as it'll ever be, eliminating the risk of further carrier churn. At the same time, we expect SpaceX, potential M&A, and 6G to all represent upside optionality on top of already-inflecting fundamentals.** The headwinds to the business discussed above are substantially done after 2027, and reported AFFOPS, absent asymmetric upside events, inflects to **+7-9% in 2028-2030**.

I have a **\$280 YE28 price target (20x forward AFFOPS of \$14.00), a ~63% total return with dividends and a ~20% IRR from \$186**. 20x is undemanding — below the stock's own ~24x long-run average and far below the 26-27x EBITDA private towers have cleared at — and we get there on AFFOPS estimates slightly below the street, so this is not an estimates call. What's misunderstood: the market is extrapolating churn-depressed prints as the new run-rate and pricing SBAC like a melting bond. In reality you're buying a contractually visible growth inflection at a trough multiple, and getting three free options on top: a spectrum-driven leasing acceleration (160MHz of upper C-band goes to auction by July 2027 with forced buildout deadlines), a possible fourth tenant (SpaceX now owns 65MHz of terrestrial-capable spectrum and is openly flirting with a ground network), and a takeout (KKR and Brookfield reportedly bid ~\$250 in April before walking on price).

Overview

SBA owns and leases space on 46,358 towers — 17,378 in the US and 28,980 across 12 international markets (mostly Brazil and, after last year's ~7,000-site, ~\$1bn Millicom deal, Central America, where SBA is now the largest towerco). The US is ~73% of leasing revenue at ~84% tower cash flow margins (consolidated ~80%). T-Mobile is 31% of revenue, AT&T 20%, Verizon 15%. Site leasing is ~98% of segment profit — the purest tower model of the big three (no data centers, no fiber). Towers remain the best business model in telecom: the tower is a hyperlocal monopoly, a second or third tenant costs almost nothing to add (incremental margins ~97%), and maintenance capex runs ~2% of billings, the lowest capex intensity in REIT-land. The domestic algorithm is ~3% contracted fixed escalators plus 2-3% from colocations/amendments less ~1% normal churn = 4-5% organic; international escalators are CPI-linked. Levered 6-7x against securitization-friendly cash flows and topped with buybacks, that has historically compounded AFFOPS at high-single to low-double digits.

Management turned over in Jan-24 (Brendan Cavanagh, a 20+ year SBA veteran, replaced longtime CEO Jeff Stoops) and has been quietly excellent: exited subscale markets (Philippines, Colombia, and Canada — the latter at a \$226M gain), consolidated Central America via Millicom on 15-year USD-denominated MLAs with exclusive build-to-suit rights, formalized a 6-7x leverage target, took the company investment grade (inaugural \$3.5bn IG bond closed July 23 at 4.9-5.5%), raised the dividend 13% (fastest in the sector, still only ~41% of AFFO), and holds \$1.1bn of buyback authorization against a ~\$19bn market cap.

1. The three-year AFFOPS recession is one-timers — and they all lap by 2028

We're effectively at the trough of the growth cycle and expect reported AFFOPS growth to accelerate from -5% in 2026 to 0% in 2027 to +7% to 2028 as we lap the impacts of sprint churn, DISH churn, and interest rate headwinds. The beauty of the thesis from here is there's no more "negative" surprises - the US wireless industry is as consolidated as it'll ever be.

AFFOPS Growth Bridge	2025	2026E	2027E	2028E	2029E
AFFOPS growth	(4%)	(5%)	(0%)	+7%	+8%
Sprint churn	(3.6%)	(4.1%)	(1.3%)	(0.7%)	(0.4%)
DISH churn	-	(4.1%)	-	-	-
Oi (Brazil) churn	(1.0%)	(1.4%)	-	-	-
FX	(0.8%)	+0.7%	(1.3%)	(1.5%)	(1.5%)
Interest-rate headwind	(4.5%)	(4.3%)	(5.8%)	(0.0%)	(2.6%)
Buybacks + M&A	(0.5%)	+4.7%	+2.6%	+1.9%	+2.3%
Memo: "underlying" growth	+6%	+4%	+5%	+8%	+9%

The churn is finite and disclosed. Sprint: the FY25 10-K shows only ~\$75M of Sprint churn left, and management has guided \$55-56M of it into 2026 (their words: the last big year) with less than \$20M in total after that. DISH: dead — it stopped paying rent Dec 1, 2025 after selling its spectrum to AT&T and SpaceX, and SBA pulled all \$56M out of 2026 guidance in one shot rather than bleeding it over 2027-28, so the entire loss sits in the 2026 trough and anything from the litigation, the \$2.4bn FCC-mandated escrow, or the Chapter 11 claims is pure upside. US Cellular is \$1-2M a year; Cavanagh calls everything else “miscellaneous cats and dogs.” After thirty years of carrier M&A the US industry is finally fully consolidated — there is no merger-churn pool left to hit these numbers.

Rates are the same story on a different line. The drag is refinancing 2021-vintage sub-2% securitizations at ~5%: the \$1.17bn 1.63% ABS rolls this November (guidance assumes 5.25%, ~\$0.40/share), and the last low-coupon block — \$895M at 1.84% plus \$1.5bn of 3.875% notes — reprices in 2027, which is why the rate drag actually peaks next year. After that the book is at-market, and July’s IG deal (4.875-5.45%) says the marginal cost of debt has plateaued near 5%. By 2028 the rate line goes to roughly zero.

Meanwhile the trough is confirming in real time: SBA raised FY26 guidance across every metric at Q1 with backlogs up and the majority of new domestic signings coming from new colocations rather than amendments; CCI called 2026 “the low point” with >90% of full-year organic growth already contracted (Jul 22); AMT raised guidance for the second time this year (Jul 28); and Morgan Stanley’s private-towerco survey (Jul 20) points to a 2H26 leasing step-up, with the biggest expected uptick at Verizon — where SBA just signed a 10-year MLA with minimum colocation commitments. Note 2026 domestic new leasing (~\$35M) is running at less than half of 2023 levels (\$78M), so a cyclical activity recovery is a second, independent source of acceleration on top of the churn lap. Q2 prints Aug 3.

2. SpaceX: a free option on the first new tower tenant in a decade

This went from sci-fi to concrete in twelve months. SpaceX paid ~\$19.6bn for EchoStar’s AWS-4, H-block, and unpaired AWS-3 — 65MHz of exclusive nationwide mid-band — and the FCC approved the transfer in May with waivers explicitly allowing terrestrial, satellite, or hybrid use. Satellites physically cannot carry dense urban/suburban traffic, so if SpaceX wants the consumer mobile business it keeps hinting at, it needs ground infrastructure. Intent is now on the record: Shotwell told IPO investors in June that SpaceX is considering a retail Starlink mobile service and may build its own terrestrial network, and this morning Semafor reported SpaceX is hunting for urban-friendly spectrum — possibly bidding the upper C-band auction — which knocked AT&T and Verizon down ~4% intraday. All three carriers refused SpaceX an MVNO this spring (then formed a defensive satellite JV days after the FCC approval), which pushes SpaceX toward building; after June’s \$75bn IPO at a \$1.8tn valuation, funding a buildout Wells Fargo sizes at ~\$67bn over 10 years is no longer absurd.

The template for what a fourth tenant is worth already exists: DISH hung ~144,000 radios on 24,000+ towers and paid the industry roughly \$500M a year at only ~80% POPs coverage. Those radios go to auction Aug 12 in the DISH bankruptcy, and LightShed’s take is that the cleanest path is a third party — read: SpaceX — buying them cheap and signing fresh leases with the towercos. Cavanagh has confirmed “very preliminary” conversations with SpaceX. To be clear, this is optionality, not a forecast: Musk’s stated worldview is that satellites substitute for towers, and the model carries zero SpaceX revenue. But at 14.9x you are paying for a permanent three-tenant world and getting the fourth-tenant call option for free.

3. The takeout bid already happened — at \$250

This one isn’t hypothetical. On April 2 Bloomberg reported SBA was exploring a sale after inbound interest and the stock ripped ~19% intraday; KKR and Brookfield were reported at ~\$250/share — roughly 40% above today — before KKR went pencils-down in May on valuation and the size of the equity check, and the process was declared dead in mid-June (the stock has whipped around takeout headlines since, including a pop this week). The read-through is simple: the most sophisticated infrastructure buyers in the world underwrote SBAC 40% higher, and they walked on price, not asset quality. New Street’s Barden argued even \$250 — sub-21x EBITDA — “would doom the industry to that ceiling,” i.e., the bid itself was below private fair value:

Transaction	Date	Multiple / price
Shentel towers (226) to Vertical Bridge	2024	26.7x EBITDA (\$1.4M/tower)
DT GD Towers (51%) to Brookfield/DigitalBridge	2022	approx. 27x EBITDA (AL)
Vantage Towers to KKR/GIP (take-private)	2022	26x EBITDA (AL)
Reported KKR/Brookfield interest in SBAC	Apr-26	approx. \$250/sh = 20-21x EBITDA
SBAC today	-	16x EV/EBITDA, 14.9x fwd AFFO

The private-public gap is in my view logical: digital-infra funds raised a record \$26bn in equity in 2025 (~4x the prior four-year average), which amounts to at least 100bn in levered capital looking for investments; SoftBank is buying DigitalBridge; KKR just put \$1.5bn of preferred into Vertical Bridge; and Bloomberg reported last week that Cellnex — Europe’s SBAC — is exploring its own take-private. SBAC is the only big-three towerco where the equity check is writable (~\$19bn vs. AMT’s ~\$90bn), it’s pure-play, and it’s already levered the way a sponsor would run it. We don’t need the deal — but as the numbers inflect into 2027-28 the same buyers get to underwrite accelerating growth at a lower multiple, and April’s bid likely functions as a soft floor under the stock.

4. Spectrum is flowing again, and 6G is behind it

For the first time in half a decade the spectrum pipeline is full. The July 2025 reconciliation bill restored FCC auction authority and mandated 800MHz of auctions. The first one (AWS-3, June 2026) raised \$3.6bn with Verizon taking 79% of the MHz-PoPs — Verizon re-arming is exactly what the Morgan Stanley

survey flags as the biggest coming activity uptick, and SBA's new 10-year Verizon MLA sits right in front of it. The main event is the upper C-band: rules adopted last week for 160MHz (60% more than Congress required), auction by July 2027, and the band must be cleared for wireless use in the top 75 markets by end-2030 — new spectrum lands in carrier hands and is deployable squarely inside the PT window. AT&T meanwhile just closed its \$23bn EchoStar spectrum purchase, where the 600MHz layer requires new radios on towers under FCC-accelerated buildout deadlines.

The precedent for what new spectrum does to SBAC is the 2021 C-band auction: services revenue went from \$129M (2020) to \$297M (2022), domestic leasing bookings hit their highest level since 2014, and the services backlog hit an all-time record — on a 12-24 month lag from auction to activity. Map that lag onto a mid-2027 auction and you land exactly on the 2028-2030 window where the model carries +7-9% AFFOPS growth on 4.5-5% domestic organic. Demand underneath keeps compounding: global mobile data +22% y/y (Ericsson, June), US demand +35% for a third straight year (AT&T to the FCC), Ericsson modeling AI-driven uplink to triple by 2031, and fixed wireless pushing 18M subs with targets still rising — T-Mobile alone is activating 4,000 greenfield sites this year. 6G is the kicker, not the crutch: first specs freeze late-2028/early-2029 with first commercial networks in 2029-30, so the next equipment cycle begins just as C-band matures — it extends the runway beyond the PT rather than driving it. The honest caveat: aggregate carrier capex is flat-to-down (Verizon cut 2026 to \$16-16.5bn), so the bet is that spectrum overlays force tower-level amendments and colocations within flat budgets — which is precisely what happened in 2021-22.

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Catalyst

SpaceX terrestrial buildout rumors

M&A spec

6G

Messages

Subject CCI
Entry 07/30/2026 03:50 AM
Member yellow

Appreciate the enhanced detail of the new post. May you please illustrate my ignorance on why not pick CCI after fiber sale and 100% US focus instead of SBAC more diluted to non-US markets story?

Genuine question, not trying to divert your audience from SBAC to CCI!

Cheers

Subject Questions
Entry 08/01/2026 10:45 AM
Member blaueskobalt

Hi LLL, I appreciate the writeup, and I was hoping you could weigh in on the following issues:

- What is your understanding of how the KKR process played out? Was it just a bid-ask spread issue, or was there something else? What were the bid & the ask?
- Why SBAC over AMT/CCI...one could argue SBAC is a bit in-between: CCI is 100% US towers, while AMT is a bit over 50% US towers...
- Even though satellites cannot compete with towers for most traffic, they will take a tiny bit of share on the margin. How do you see this impacting terminal multiples & growth rates?
- The average rent per tower that CCI/SBAC/AMT charge is meaningfully higher than where new rents with small, independent TowerCos are being struck. How do you see this impacting lease renewals in the future?
- Tower REIT price action has long had a tight (0.9) correlation with interest rates, and this has fallen to nearly zero over the past 1-2 years. Why do think this is the case, and do you see it going back to that tight correlation? Given how much rates have moved around over the past decade, what does that imply about the correct multiple for SBAC with the 10-year at 475?

Thanks!

Subject Re: Questions
Entry 08/04/2026 10:31 AM
Member DLDT

Can I add to this list:

1. Is there any way towers could be involved with AI inferencing?
2. LBO math isnt great without a 4th tenant (AMZN/SpaceX/others) or some benefit from AI (hyperscalers) - that was probably their thesis for free optionality and maybe why SBAC didn't sell? LBO at ~25% premium from here, double digit starting leverage, still not a 20% IRR

Thanks!